

DIFFERENT APPROACHES IN SECTORAL ANALYSIS

There are mainly 3 different approaches market participants use when they are analyzing sectors. They are -

1 **Fundamental analysis of Sectors**

2 **Macro-Economic analysis of Sectors**

3 **Technical analysis of Sectors**

1 Fundamental analysis of Sectors

Fundamental analysis of sector requires a person to evaluate the financial health and performance of companies within a specific sector or industry. An investor using this approach mainly deals with factors such as revenue growth, earnings, profitability, competitive position and market share of a company. The list also includes financial statements, industry reports and company related news to analyze the overall strength of a specific sector.

